Kena

REGULATIONS AND RESEARCH DIGEST · ETHIOPIA

World Bank research on Ethiopia

Plain-English summaries of the official documents that shape investing in Ethiopia, with what each one means for investors and businesses.

PUBLIC EDITION

Kena · Building Trust in Every Deal
Erudite Africa Investments PLC · Addis Ababa

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— Overview

World Bank Group diagnostics, outlooks, policy documents and working papers on Ethiopia's economy, reforms, markets and firms. They give investors independent data on the macro outlook, the 2024 exchange rate and banking reforms, and the binding constraints businesses face.

01 Documents in this digest (14)

Country strategy · Published (research)

Country Partnership Framework for the Federal Democratic Republic of Ethiopia for the Period FY27-FY36: Building Strong Foundations for More and Better Jobs

Report No. CPF0000018 · World Bank Group (IDA, IFC, MIGA) · June 23, 2026

The World Bank Group's 10-year strategy for Ethiopia makes private-sector job creation the central goal. About two million people enter the labor market each year, and formal job growth is too weak to absorb them. The strategy targets agribusiness, light manufacturing and domestic pharmaceuticals, with housing as a complementary jobs engine. It names the main constraints: finance, trade and tax policy distortions, infrastructure bottlenecks, unpredictable foreign exchange access and the dominance of state-owned enterprises in key markets.

Why it matters: This shows where IFC investment, MIGA guarantees and IDA reform money will go through 2036. Investors in agribusiness, light manufacturing, pharmaceuticals and housing are the most likely to find co-financing, risk cover and reform support. The constraints the strategy lists, such as power reliability, logistics costs and FX access, are the risks to price into any business plan.

Macroeconomic outlook · Published (research)

Ethiopia Macro Poverty Outlook, April 2026

World Bank · 2026-04

The World Bank estimates GDP growth at 9.2 percent in FY25 and forecasts 8.0 percent for FY26. Inflation fell to just under 10 percent in February 2026, and reserves reached US$6.4 billion (2.8 months of imports) at end-December 2025. The parallel market premium is still in the high teens, the policy rate has been 15 percent since July 2024, and Eurobond negotiations are ongoing. Risks include incomplete FX reform, slow removal of investment barriers, state-owned enterprise fiscal risks, conflict, and the Middle East crisis pushing up fuel prices.

Why it matters: This is the latest official World Bank view of the numbers investors use for planning: growth, inflation, FX reserves and the parallel-market gap. Imports rose 23 percent as FX became easier to get, so FX availability is improving for businesses. The high-teens premium and the 15 percent policy rate mean currency risk and borrowing costs remain high.

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Jobs and labor · Published (research)

From Policy to Practice: Lessons from the Implementation of the Refugee Work Rights Policy in Ethiopia

Policy Research Working Paper 11254 · World Bank (Ana Maria Perez, Sandra V. Rozo) · November 10, 2025

The paper reviews the early rollout of work permits for refugees under the 2019 Refugee Proclamation and later directives. Permit issuance rose after detailed operational guidance was adopted in 2024. Take-up is still modest, with about 5.2 percent of working-age refugees holding a permit. The authors cite coordination gaps, limited regional capacity, low awareness among refugees and employers, and weak incentives to formalize.

Why it matters: Ethiopia hosts a large refugee population, and refugees can now legally be hired. The paper explains the permit process and its bottlenecks, which matters to employers, especially near refugee-hosting areas and in labor-intensive sectors.

Public debt · Published (research)

The Federal Democratic Republic of Ethiopia: Joint Bank-Fund Debt Sustainability Analysis

World Bank (IDA) and International Monetary Fund staffs · 2025-09

The analysis rates Ethiopia as in debt distress and its debt as unsustainable, mainly because external debt is high relative to exports. Ethiopia missed a Eurobond payment in December 2023, and talks with bondholders continue. Official creditors under the G20 Common Framework reached an agreement in principle on March 21, 2025. With the illustrative debt treatment, the analysis projects a move to moderate risk of debt distress by the end of the IMF program in July 2028, and estimates that about US$3.5 billion in relief is needed over the program period.

Why it matters: Sovereign debt distress drives country risk premiums, the cost of trade finance and how much FX the state can release. Investors should follow the restructuring timeline in this analysis when assessing sovereign, banking and payment risk.

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Digital economy · Published (research)

Ethiopia Telecom Market Assessment

Report No. 203975 · World Bank Group (Digital Vice Presidency), at the request of the Ethiopian Communications Authority · 2025-07

The assessment finds that Ethiopia's telecom market has opened since 2018, but Ethio Telecom remains dominant and the playing field is uneven. The regulator found Ethio Telecom has significant market power in six market segments, while Safaricom held about 7.7 percent of market revenue in FY24 and reported losses of US$325 million. 4G coverage rose above 40 percent of the population by early 2025, but average mobile broadband speed is 4.5 Mbit/s and ARPU is about US$1 per month. The report flags below-cost voice bundles and telebirr-linked discounts as possible abuse of dominance, and it recommends cost-based interconnection, open access for tower and infrastructure companies, and open government payment channels.

Why it matters: Telecom, fintech, tower and data-center investors can use this report to judge competition and regulatory risk in the sector. It also lists the reforms to watch: published reference offers, a cost model at the Ethiopian Communications Authority, TowerCo licensing, and access to government payment flows.

Urban land · Published (research)

Integrated Urban Land Management for Climate Sensitive Cities: Constraints, Opportunities, and Lessons from Ethiopia

World Bank · June 9, 2025

The report draws lessons from World Bank studies and interventions in Ethiopia during 2022 to 2024 on integrated urban land management. It describes Ethiopia's urbanization trends and the gaps in institutions, policy and implementation that worsen climate risk in cities. It reviews ongoing reforms and tools tested during the study, and sets out the investments needed for more livable, climate-resilient cities.

Why it matters: Real estate developers, industrial investors and infrastructure investors depend on urban land administration, which the report finds weak. It shows where the reforms are heading and what affects site selection and project timelines.

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Reform program · Published (research)

Second Sustainable and Inclusive Growth Development Policy Operation (P506352) - Program Information Document

Report No. PIDDA00178 · World Bank · May 29, 2025

This document describes a US$1 billion IDA operation, the second of two, supporting reforms in finance, trade and investment, fiscal policy and social resilience. It reports that the July 2024 FX liberalization narrowed parallel-market spreads and eased FX shortages. Reserves rose to about two months of imports, and inflation fell from 27 percent to 13 percent by March 2025. Planned measures include restructuring the Commercial Bank of Ethiopia, more foreign investment and competition in banking, liberalizing FDI in trade sectors, streamlining customs, publishing telecom interconnection agreements, reforming corporate income tax incentives, and continuing quarterly electricity tariff increases.

Why it matters: This document sets out the reform agenda behind the World Bank's budget support. It points to the openings coming for foreign investors in banking and trade sectors and to expected changes in tax incentives and power tariffs. The World Bank rates the risk to the program as substantial.

Poverty and jobs · Published (research)

Ethiopia Poverty and Equity Assessment (Welfare at a Crossroads: Turning Tides)

World Bank · January 13, 2025

Using 2021 survey data, the assessment finds that the national poverty rate rose from 24 percent in 2016 to 33 percent in 2021 (excluding Tigray). Consumer prices roughly tripled while nominal incomes only doubled, so real incomes fell. Job creation slowed to about 1.2 million in 2013 to 2021, compared with 8.5 million in 2005 to 2013, and industry shed jobs. The report links weak private-sector growth to exchange rate misalignment and state dominance in the economy.

Why it matters: Falling real incomes mean weaker consumer demand outside Addis Ababa and Dire Dawa, which matters for consumer-facing businesses. Labor supply is large and employment rates have fallen, which supports labor-intensive investment. The report also gives evidence for why the macro and market reforms that investors are watching are needed.

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Reform program · Published (research)

Ethiopia First Sustainable and Inclusive Growth Development Policy Operation (P181591) - Program Document

Report No. PGD481 · World Bank · July 12, 2024

This program document supports a US$1.5 billion IDA operation approved after Ethiopia liberalized its exchange rate in July 2024. Its prior actions included submitting amendments to the National Bank of Ethiopia Establishment Proclamation and a new Banking Business Proclamation, five NBE prudential directives, a recapitalization plan for the Commercial Bank of Ethiopia, lifting export bans on maize, sorghum and barley, and submitting an AfCFTA tariff offer. It notes that CBE holds 58 percent of banking assets and that trade is only about 20 percent of GDP. It projects FDI to double as a share of GDP by FY2027.

Why it matters: This document explains the reasons for the 2024 FX and banking reforms and how they are sequenced. That helps foreign banks, exporters and importers judge whether the new rules are likely to last. Its targets, such as raising private-sector credit from 45 to 55 percent of bank assets by 2027, are useful benchmarks for tracking access to finance.

Access to finance · Published (research)

Making Ethiopia's Financial Sector Work for Women: 10 Evidence-Based Ideas for Action

World Bank Africa Gender Innovation Lab, in consultation with the National Bank of Ethiopia · 2024-03

The brief finds that rapid gains in financial inclusion have widened the gender gap: in 2021, 39 percent of women and 55 percent of men had formal accounts. Women hold only 14 percent of mobile money accounts and receive much smaller loans. It proposes 10 actions, including lending that relies less on collateral, digital and redesigned loan products, use cases that make digital finance worth adopting for women, and gender-disaggregated reporting to regulators.

Why it matters: For banks, microfinance institutions and fintechs, this brief points to a large underserved market of women savers and borrowers. It also signals reporting and lending practices that the NBE may push lenders to adopt.

Climate and infrastructure · Published (research)

Ethiopia Country Climate and Development Report

CCDR Series (hdl.handle.net/10986/41114) · World Bank Group · February 27, 2024

The report estimates that under current policies, climate change could cut GDP by about 1 to 1.5 percent a year in 2024 to 2030, with losses near 5 percent a year in the 2040s. Livestock losses, heat stress on labor, and damage to roads and bridges are the largest channels. It estimates climate-related investment needs at about US$27.6 billion through 2050. It finds that structural reforms sharply reduce losses.

Why it matters: Investors in agriculture, livestock and infrastructure, and lenders to them, should factor these physical risks into project design and insurance. The report's investment needs also point to opportunities in climate-resilient infrastructure, irrigation and renewable energy.

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Tax and SMEs | Published (research)

Presumptive Tax on Small and Microenterprises with a Gender Lens in Ethiopia

Policy Research Working Paper 10707 · World Bank (Hitomi Komatsu, Development Data Group) · 2024-02

Using Ethiopian Socioeconomic Survey data and the tax code, the paper estimates effective presumptive tax rates on small and microenterprises by the owner's sex. It finds the system is regressive: the smallest businesses face the highest effective rates. Sectors with no tax-free threshold, such as food and beverage services and transport, carry heavy burdens. The author proposes a single turnover tax rate with an exemption for low-revenue businesses.

Why it matters: Small businesses, franchisors and distributors that rely on micro-retailers face a turnover-band presumptive tax that this paper shows is costly. The paper shows how the tax can push small firms to stay informal and points to possible reform of the regime.

Manufacturing and industrial parks | Published (research)

On the Path to Industrialization: A Review of Industrial Parks in Ethiopia - Policy Report

World Bank (Senidu Fanuel, Matthew Butler, Philip Grinsted) · 2022

The review finds Ethiopia's industrial parks created about 90,000 direct jobs, mostly for women aged 18 to 25, and attracted 66 investors and about US$740 million to public parks. Net park exports reached US$163 million in 2019/20, about 40 percent of manufacturing exports. Local inputs are under 5 percent of intermediates, and about 70 percent of garment exports went to the US before AGOA suspension. Investors cited water, power and telecom interruptions, FX shortages, logistics costs and labor turnover, and the report recommends filling existing parks, building local supplier linkages and bringing in private operators.

Why it matters: Manufacturers considering Ethiopia's parks, now special economic zones, can use this review to understand the actual operating problems and the markets that matter after AGOA. It also points to openings for local suppliers such as fabric mills and for private park operators.

Growth and competitiveness | Published (research)

Ethiopia's Great Transition: The Next Mile - A Country Economic Memorandum

Report No. AUS0002952 · World Bank (Macroeconomics, Trade and Investment, Africa East Region) · June 17, 2022

The memorandum finds that growth averaged about 10 percent in 2004 to 2019. Most of it came from public investment, while total factor productivity declined in 2011 to 2020. State-owned enterprises took over 55 percent of bank credit, and the private sector's share stayed near 30 percent. The birr was overvalued by about 25 percent in 2019. It recommends exchange rate reform, removing credit distortions that favor the state, stronger public investment management, and better connectivity and labor mobility.

Why it matters: This is the main World Bank diagnosis behind the 2024 reforms. It explains why access to credit and FX has been the binding constraint for private firms. It also shows which sectors and regions gain most as state dominance and financial repression are unwound.

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References for members. Every figure and statement in this digest is drawn from documents published by international institutions and the Government of Ethiopia. Direct links to every original document are is included in the member edition, available free to registered Kena members on the platform.

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